

Financial strength and capital structure. The most basic possible definition of a good business is this: It generates more cash than it consumes. Good managers keep finding ways of putting that cash to productive use. In the long run, companies that meet this definition are virtually certain to grow in value, no matter what the stock market does.

Start by reading the statement of cash flows in the company's annual report. See whether cash from operations has grown steadily throughout the past 10 years. Then you can go further. Warren Buffett has popularized the concept of *owner earnings*, or net income plus amortization and depreciation, minus normal capital expenditures. As portfolio manager Christopher Davis of Davis Selected Advisors puts it, "If you owned 100% of this business, how much cash would you have in your pocket at the end of the year?" Because it adjusts for accounting entries like amortization and depreciation that do not affect the company's cash balances, owner earnings can be a better measure than reported net income. To fine-tune the definition of owner earnings, you should also subtract from reported net income:

- any costs of granting stock options, which divert earnings away from existing shareholders into the hands of new inside owners
- any "unusual," "nonrecurring," or "extraordinary" charges
- any "income" from the company's pension fund.

If owner earnings per share have grown at a steady average of at least 6% or 7% over the past 10 years, the company is a stable generator of cash, and its prospects for growth are good.

Next, look at the company's capital structure. Turn to the balance sheet to see how much debt (including preferred stock) the company has; in general, long-term debt should be under 50% of total capital. In the footnotes to the financial statements, determine whether the long-term debt is fixed-rate (with constant interest payments) or variable (with payments that fluctuate, which could become costly if interest rates rise).

Look in the annual report for the exhibit or statement showing the "ratio of earnings to fixed charges." That exhibit to Amazon.com's 2002 annual report shows that Amazon's earnings fell \$145 million short of covering its interest costs. In the future, Amazon will either have to earn much more from its operations or find a way to borrow money at lower rates.